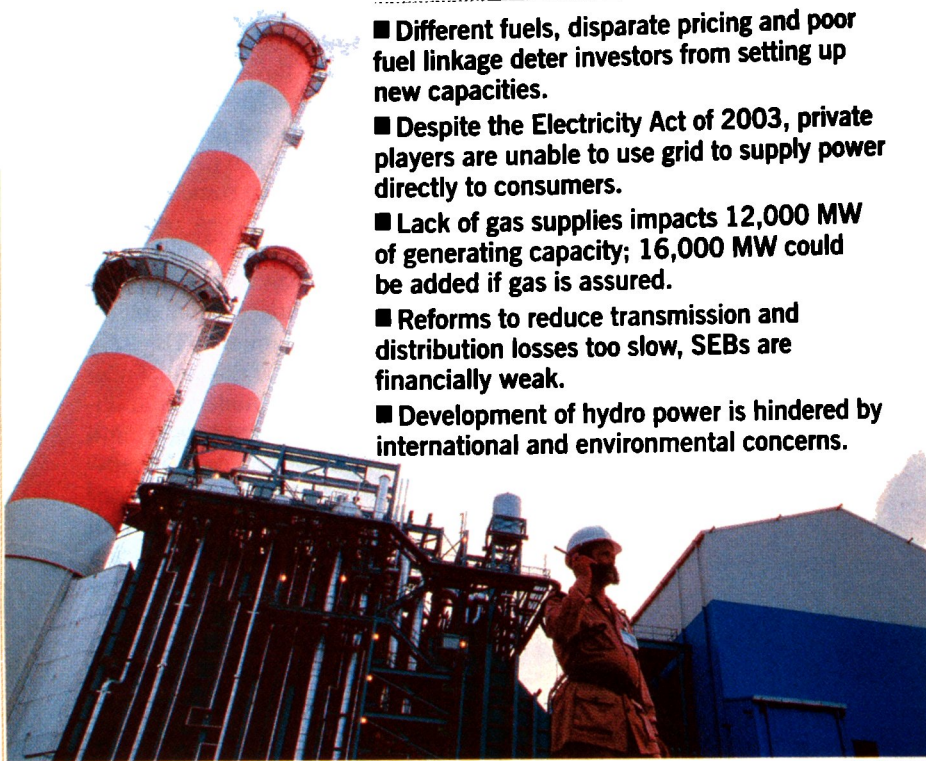


MEGA WATT HURDLES

- Different fuels, disparate pricing and poor fuel linkage deter investors from setting up new capacities.
- Despite the Electricity Act of 2003, private players are unable to use grid to supply power directly to consumers.
- Lack of gas supplies impacts 12,000 MW of generating capacity; 16,000 MW could be added if gas is assured.
- Reforms to reduce transmission and distribution losses too slow, SEBs are financially weak.
- Development of hydro power is hindered by international and environmental concerns.



FAWZAN HUSSIAN

TRIPPED FOR FUEL: Dabhol plant is among those badly needing gas

the courts. Media coverage may suggest that gas pricing is a private battle between the Ambani brothers but it isn't. Consider this confusing scenario: ONGC sells gas for fertiliser plants and power producers for \$1.80 per mmbtu, India buys LNG from Qatar at \$3.8, Petronet LNG at \$7 per mmbtu and gas from Iran could cost \$7.9 mmbtu. In a perfect market, pricing is based on adequate return on investments and is best left to the players but this is not a perfect environment.

Politics will not allow pass-through

economics for producers of fertilisers to be charged market-determined rates as that would push fertiliser prices and the subsidy up. Higher cost of power, says V. Krishnamurthy, chairman of the National Council for Manufacturing Competitiveness, "will hurt the resurgence in manufacturing" besides, of course, hurting the power subsidy regimes of states. Add the problem of gas promised to power and fertiliser plants and the issue of local interests. Andhra Pradesh Chief Minister Y.S.R. Reddy who raised the

FUEL HUNT: Deora (centre) with Iranian and Pakistani officials



SIPHA DAS

issue of gas pricing at the chief ministers' conference has shot off three letters to the prime minister urging caution and also demanding profit from petroleum for gas produced off the Andhra Pradesh coast. The Gujarat Government, whose PSU Gujarat State Petroleum Corporation has struck gas, has another view. Chief Minister Narendra Modi wants a "nationalistic approach to gas pricing". Typically, the Government has now asked a committee of secretaries to come up with a pricing mechanism. To calm frayed tempers, Petroleum Minister Murli Deora has said that "a formula that takes care of all stakeholders will be put in place soon."

Pricing of any fuel is complicated by existing regimes. Although the administered price mechanism has been dismantled, fuel prices are still administered by the Government through the oil PSUs. Ergo, if the gas price is unnaturally high, there could be a surge in companies setting up captive power plants using diesel distillate. Or there could be excessive increase in use of diesel for power generation.

In the Indian context, every debate in the economic policy domain reverts to reforms in generating and distributing resources. The critical impulse in ensuring energy security is equity in allocation of resources and pricing. As long as India doesn't fix its subsidy regime, this cannot be ensured. Free power should be paid for by states, farmers should be compensated for fertilisers not the companies, subsidy on diesel or LPG for the poor has to be shifted from the producer to the benefactor which is the Government. This

could be done by coupons or smart pay cards. It is only when the Government can decide what it will pay whom for what in which form that market economics can come into play. Market economics in a half way house of reforms is a recipe for disaster. Energy security is not simply a matter of acquiring assets or developing new fields. It is that and, more importantly, a question of managing priorities and the assets.

COMBUSTION CHAMBER

- Current reserves are worth seven years of current consumption and will last only 23 years.
- Demand for petro products is expected to rise from 115 mt now to 281 mt in 2032.
- Gas requirement is estimated to rise from 91 mmscd to 430 mmscd in 25 years.
- New supplies like the Iran pipeline need to be tied up for comprehensive energy security.